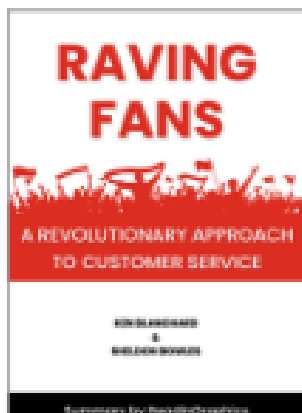




RAVING FANS

A Revolutionary Approach
to Customer Service

KEN BLANCHARD & SHELDON BOWLES



The Big "So What"

Customer service is important to any business. Yet, it's not enough to merely satisfy your customers. To have a massively successful business, you need Raving Fans. **This book presents a simple but powerful 3-part framework to help you to deliver amazing customer service and achieve outstanding bottom-line results.**



Introduction

In America, service standards have become so low that customers *expect* poor service. They're satisfied so long as your service is no worse than your competitors'.

You *can* acquire and retain customers by delivering customer satisfaction, i.e. by being just better than your competitors. However, **to have a booming business, you need to create Raving Fans, i.e. to make your customers so wildly happy that they can't help talking about you and recommending you to others.**

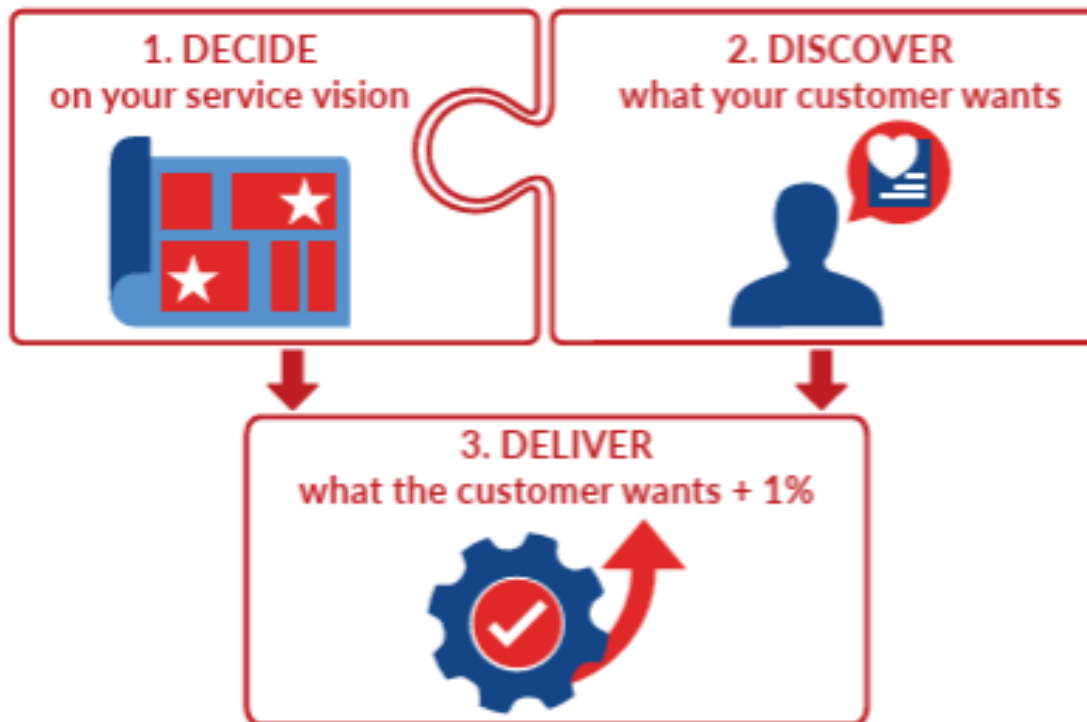
Through a fable, this book presents a simple framework on how to build a raving fan base. The story is about an Area Manager who has been tasked to go beyond product quality to create Raving Fans for his company. With the help of a mysterious fairy godmother, he meets with several successful business leaders and learns the 3 secrets to:

- Define your service vision;
- Learn what your customer truly wants; and
- Deliver outstanding customer service consistently as a competitive advantage.

KEY QUOTES

"Quality is how well our product works in relation to the customer's. That's just one aspect of customer service. Customer service covers all the customer's needs and expectations."

"Your customers are...only satisfied because their expectations are so low and because no one else is doing better."



KEY QUOTES



The 3 Secrets of Creating Raving Fans



Secret #1: Decide on your Service Vision

Define your service vision in detail, with the customer as the focal point.

To create Raving Fans, the first step is to define your vision of perfect service, or the ideal way you'd want to serve your customers. You must see each service detail in your mind before you can create it in reality. These details jointly form the perfect customer experience.



In many companies, service levels are defined by what's possible, practical or affordable. They allow their existing constraints to limit their service potential.



To deliver outstanding customer service, you must start by deciding what you want, i.e. to define your service vision. In the story, the Area Manager sees this secret in action at Varley's Department Store, which is thriving despite being located right next to a mega mall.

- The moment the Area manager enters the store, he's greeted by a well-dressed staff, who pins a flower on him, and offers

- Consider all direct and indirect customers who're touched by your product/service. For example, if you manufacture metal cases for computer companies, you may sell directly to a purchasing agent, but actually serve everyone from the computer companies' engineering/production departments to the transport companies' receivers and the end-users of the computers.
- Your service vision provides a window to filter out your ideal customer niche, i.e. customers whose vision matches yours. These are the customers whom you can serve exceedingly well to become your Raving Fans.



Learn to listen deeply to distill what customers truly want.

- People often say one thing but mean another, e.g. they may claim that price is the deciding factor, when they're actually influenced by on-time delivery and quality. Listen out for what's being said as well as what's left unsaid.
- Don't assume that customers are happy if they don't complain or if they say that they're "fine". These could actually be a sign that they're so dissatisfied/disillusioned that they don't even wish to share their feedback. Customers will only take the effort to communicate if they're very happy or very unhappy, so take every compliment and complaint seriously. Pay attention to customers who're silent or simply say that things are "ok" or "fine".



Next, integrate the 2 service visions: Using your service vision as a foundation, incorporate specific aspects of your customers' vision. You'll always have to develop your own vision first because:

- Your vision forms a basis or foundation for meaningful discussions. For example, if you can't describe or show what a perfect book summary is like, customers won't be able to give specific inputs on what they want or don't want.
- Your service vision will always be more comprehensive than your customers' vision. Most customers will only zoom in on 1-2 key areas that are disproportionately important to them. It's your role to see the big picture and fill in the gaps that aren't addressed in the customers' vision.

KEY QUOTES

"You have to listen to the music as well as the lyrics."

"'Fine' or silence is a message in itself."

"A customer's vision has meaning only in the context of your vision."

"Often, the narrower the focus, the more important that vision is to the customer."

- It's impossible to offer outstanding service to *everyone*. Customers whose service vision is totally different from yours won't fit into your business model. Your goal is to offer stunning service to customers *within* your target segment (i.e. they share a similar service vision), and leave others to be served elsewhere. Use your service vision to filter out which customer inputs to adopt and which ones to ignore.



Secret #3: Deliver What the Customer Wants ...Plus 1%

Deliver what the customer wants consistently and go beyond that, 1% at a time.

Once you know what the customer wants, you must (i) deliver that all the time (without exception) and (ii) seek to over-deliver and continually improve by 1%.



To create satisfied customers, you should under-promise and overdeliver. To create Raving Fans, you must promise more and deliver more. The key is to do get there one step at a time, instead of trying to bite off more than you can chew.



Aim for consistency first, since it's essential for building trust and credibility. It's better to start with a few key areas and deliver them consistently well, than to promise something you can't fully deliver. If you can't accomplish something consistently yet, then don't highlight or market it. Once you raise customers' expectations, they'll hold you to your promise, and leave if you fail to deliver.

- You can create systems for any service element or goal. For instance, if you want your employees to be warm and friendly, you must equip them with the right skills and processes, e.g. teach them to smile and greet customers by their names, talk about topics outside the existing business transaction etc.
- Start small, then progressively expand your service as you introduce new systems to ensure consistency.
- Systems ≠ rules. Use systems to help your team achieve minimum standards consistently, but give people the

KEY QUOTES

"What you have to do is promise more and deliver more. Just don't promise too much at once."

"Consistency creates credibility."

"All good customer service is a result of nifty systems."

"The purpose of systems is to ensure consistency, not create robots...Systems give you a floor, not a ceiling."

flexibility and discretion to make adjustments and *exceed* those standards. In short, set the baseline but allow people to reach for the skies.



This is why the 1% continual improvement is so crucial:

- If everyone on your team seeks to exceed customer expectations and improve by 1% continually, it (i) creates a huge cumulative impact and (ii) keeps the business moving forward. Small improvements can be implemented immediately and you can quickly evaluate what works or doesn't work. This can be more effective than major changes which take a long time to plan and execute, yet may not even be effective.
- It also injects flexibility to ensure your vision is constantly growing and evolving. No matter how good your service vision is, you'll need to refine it to meet customers' changing needs, and to incorporate their feedback. You win customers' loyalty when they know that their needs and inputs are taken seriously.



Track your service standards by creating a Raving Fan Index that combines key internal benchmarks (e.g. on-time delivery, reworks) for every person and department.

- Talk to customers regularly to establish how you are doing.
- Don't just criticize people when they fall short of expectations. Make sure you recognize and reward people who offer great service, so they're motivated to repeat it. Align your performance evaluation, staff compensation and promotions with your Raving Fan index.



Putting it Together



In the story, the Area Manager sees how the 3 secrets of creating Raving Fans are applied in various businesses, including a departmental store, a grocery store, a manufacturing plant, a gas station and even by a cab driver. In particular, he learns how the owner of Sally's grocery store used the 3 secrets to transform her business.

KEY QUOTES

"Listening to customers is powerful...Responding to what customers say is dynamite."

*"Visions do only two things.
They grow or they die."*

- When Sally first bought the grocery store, it was losing money. She took some time and effort to crystallize her service vision, focusing on her passion to help customers to save money and eat healthily.
- She visualized how customers would be greeted by a friendly valet who'd also recommend the freshest daily produce. Customers would receive a red carpet welcome, with store advisers and a computerized system to map out recommended shopping routes, deals and healthy food alternatives according to their shopping lists. The checkout process would be fast and smooth, using special product tags for automated billing. Customers' purchases would also be stored in their personal accounts so they can receive customized deal-notifications and recommendations in future. By comparing that vision with the existing reality, Sally was able to progressively address the gaps and implement her vision.
- Since Sally's goal is to provide outstanding service for customers who wish to save on groceries and eat healthily, she can deliberately *omit* services that do not match the vision, e.g. offering fresh fish or helping customers to load the groceries into their cars.
- Similar to Varley's, service quality is a key performance evaluation criterion at Sally's. Employees are recognized for offering excellent service, and can only be promoted if they have delivered a Raving Fan service. For instance, one of the staff suggested the idea of free shoe-cleaning services for husbands who accompany their wives for grocery shopping—the idea was such a hit that the staff was promoted.



Fundamentally, the 3 secrets are really about building a relationship between people, instead of a transactional relationship between companies and customers. Your end goal is to help your employees to serve your customers in a way that's fulfilling for both sides.

KEY QUOTES

"It's nice to do a good job and be recognized for it."

"It's really a human relationship...People arrive with needs and people go out and serve them to fulfil those needs."